

ENGLISH **LIVE**

24

COMPREHENSION & VOCABULARY

UPSC / BANK PO / SSC / OTHERS

SESSION - 24

28th February, 2017

Sensible Humility From a Unicorn

Snapdeal is right to attempt a course correction. Snapdeal has done itself and the entire startup ecosystem a big favour by admitting overreach and taking decisive action to downsize. Companies that are given oodles of capital and a variable burn rate rather than a target rate of return within a reasonable time horizon run the risk of not knowing when to take the foot off the pedal, slow down and change course. It is welcome that Snapdeal has extricated itself from a spending spree that was not taking it anywhere in particular.

It is to be hoped that other Indian startups, too, would learn similar lessons and emerge from the delusion that subsidising customers in the name of customer acquisition will take them to business nirvana. It is a lesson, too, for investors who take the 'spray and pray' approach to investing in startups. Should we commend the founders for their decision to take a 100% pay cut? Well, it is a token of empathy for the staff losing their jobs or in line for a serious drop in their salary. It is a welcome show of decency.



What about the 600 or so employees who would reportedly have to go? Joining a startup is always a risk, for which you expect to receive a premium in cash and/or kind: you get high salaries and/or experience of a kind that you would not in an established company. Presumably, those who joined

the startup came in with their eyes wide open. They would leave richer for their experience, if not for high salaries. Even if a particular e-commerce company is not expanding fast, the industry in general would, particularly if the government goes ahead with the reported relaxation of investment conditionality, and should be able to absorb experienced hands.

It is important that investors and customers do not draw the extreme conclusions about either Snapdeal or Indian startups in general. India has enormous potential in wide-ranging commercial possibilities waiting to be explored and developed. That would call for large doses of risk capital. How much is needed in any particular line of activity and how much would lead to excess is something that investors need to have a sense about.

THE ECONOMIC TIMES

24th February 2017

DISCUSSION ON
28th Feb (Today)

DISCUSSION ON
1st March (tomorrow)

Welcome Mergers in the Telecom Space

After the initial pain, telcos will gain, too

Vodafone in India is merging with Idea Cellular. Bharti is acquiring Telenor's loss-making operations in India. Reliance Infocomm has merged with Aircel and MTS and is in talks to bring Tata Teleservices into its embrace. Indian telecom is consolidating at a rapid pace, thanks to the disruptive entry of Reliance Industries' Jio, which fancies itself as a digital empire in the making rather than as a telecom company, and is, thus, prepared to offer voice services for free and data services at an ultra-low rate to facilitate all kinds of digital commerce. Disruption is bad, at least in the short run, for the companies being jolted out of their traditional mould but probably good for the consumer and for the industry as well.

The consumer's benefit is hardly obscure. Tariffs have fallen sharply: calls are free and data has become cheap, once you become a subscriber for a nominal fee, which is zero for Jio alone till March. But this would prove transient, if the service providers did not reorganise their business to make these low tariffs viable. The ongoing consolidation in the sector is part of that



organisational restructuring. Larger subscriber bases, especially those in underserved areas, would allow margins to grow thinner, without the company turning sick. Shared resources of the merging companies would allow cost saving. Larger pools of spectrum will allow operators to finally optimise the network in a manner prohibited hitherto by the slivers of disparate spectrum they had to make do with. Larger distribution networks will come in handy when telcos fully operationalise their payment banks. Consolidation will create a leaner, more efficient industry.

The Competition Commission of India, rather than the telecom regulator Trai, should oversee competition in the industry. There is no contradiction between having a sectoral regulator and entities operating in the sector being regulated for a particular purpose by another regulator. For example, just because a company offers telecom services and, thus, comes under the regulatory remit of Trai, it will not cease to be regulated by markets regulator Sebi when it comes to a public issue.

The Competition Commission of India, rather than the telecom regulator Trai, should oversee competition in the industry. There is no contradiction between having a sectoral regulator and entities operating in the sector being regulated for a particular purpose by another regulator. For example, just because a company offers telecom services and, thus, comes under the regulatory remit of Trai, it will not cease to be regulated by markets regulator Sebi when it comes to a public issue.

THE ECONOMIC TIMES

28th February 2017

Sensible Humility From a Unicorn

Snapdeal is right to attempt a course correction

Snapdeal has done itself and the entire startup ecosystem a big favour by admitting overreach and taking decisive action to downsize. Companies that are given oodles of capital and a variable burn rate rather than a target rate of return within a reasonable time horizon run the risk of not knowing when to take the foot off the pedal, slow down and change course. It is welcome that Snapdeal has extricated itself from a spending spree that was not taking it anywhere in particular.

It is to be hoped that other Indian startups, too, would learn similar lessons and emerge from the delusion that subsidising customers in the name of customer acquisition will take them to business nirvana. It is a lesson, too, for investors who take the 'spray and pray' approach to investing in startups. Should we commend the founders for their decision to take a 100% pay cut? Well, it is a token of empathy for the staff losing their jobs or in line for a serious drop in their salary. It is a welcome show of decency.



What about the 600 or so employees who would reportedly have to go? Joining a startup is always a risk, for which you expect to receive a premium in cash and/or kind: you get high salaries and/or experience of a kind that you would not in an established company. Presumably, those who joined the startup came in with their eyes wide open. They would leave richer for their experience, if not for high salaries. Even if a particular e-commerce company is not expanding fast, the industry in general would, particularly if the government goes ahead with the reported relaxation of investment conditionality, and should be able to absorb experienced hands.

It is important that investors and customers do not draw the extreme conclusions about either Snapdeal or Indian startups in general. India has enormous potential in wide-ranging commercial possibilities waiting to be explored and developed. That would call for large doses of risk capital. How much is needed in any particular line of activity and how much would lead to excess is something that investors need to have a sense about.

Sensible Humility from a Unicorn

THE ECONOMIC TIMES

24th February 2017

Sensible *Humility* from a *Unicorn*

- Snapdeal is right to attempt *a course correction*
- Snapdeal has done itself and the entire *startup ecosystem* a big favour by admitting *overreach* and taking decisive action to downsize. Companies that are given *oodles* of capital and a variable burn rate *rather than* a target rate of return within a reasonable time horizon run the risk of not knowing when to *take the foot off the pedal*, slow down and change course. It is welcome that Snapdeal has *extricated* itself from a spending *spree* that was not taking it anywhere in particular. It is to be hoped that other Indian startups, too, would learn similar lessons and emerge from the *delusion* that subsidising customers in the name of customer acquisition will take them to business nirvana. It is a lesson, too, for investors who take the '*spray and pray*' approach to investing in start-ups.
- Should we *commend* the founders for their decision to take a 100 per cent pay cut? Well, it is a *token* of *empathy* for the staff losing their jobs or in line for a serious drop in their salary. It is a welcome show of *decency*. What about the 600 or so employees who would reportedly have to go? Joining a startup is always a risk, for which you expect to receive a premium in cash and/or kind: you get high salaries and/or experience of a kind that you would not in an established company.
- *Presumably*, those who joined the startup came in with their eyes wide open. They would leave richer for their experience, if not for high salaries. Even if a particular e-commerce company is not expanding fast, the industry in general would, particularly if the government goes ahead with the reported relaxation of investment conditionality, and should be able to absorb experienced hands.
- It is important that investors and customers do not draw the *extreme* conclusions about either Snapdeal or Indian startups in general. India has *enormous* potential in wide-ranging commercial possibilities waiting to be *explored* and developed. That would call for large doses of risk capital. How much is needed in any particular line of activity and how much would lead to excess is something that investors need to have a sense about.

Sensible Humility from a Unicorn

THE ECONOMIC TIMES

24th February 2017

Sensible *Humility* from a *Unicorn*

Snapdeal is right to attempt *a course correction*

Humility

*A.P.J Abdul Kalam
received Bharat Ratna
and Venkatraman
Ramakrishnan received
Nobel Prize and they are
humble and one should
learn a lot from them*



Humility

Quality of being humble / not being proud of / not arrogant

Unicorn

It is normally a start-up company that does not have an established performance record, with estimated valuation of more than \$ 1 bn

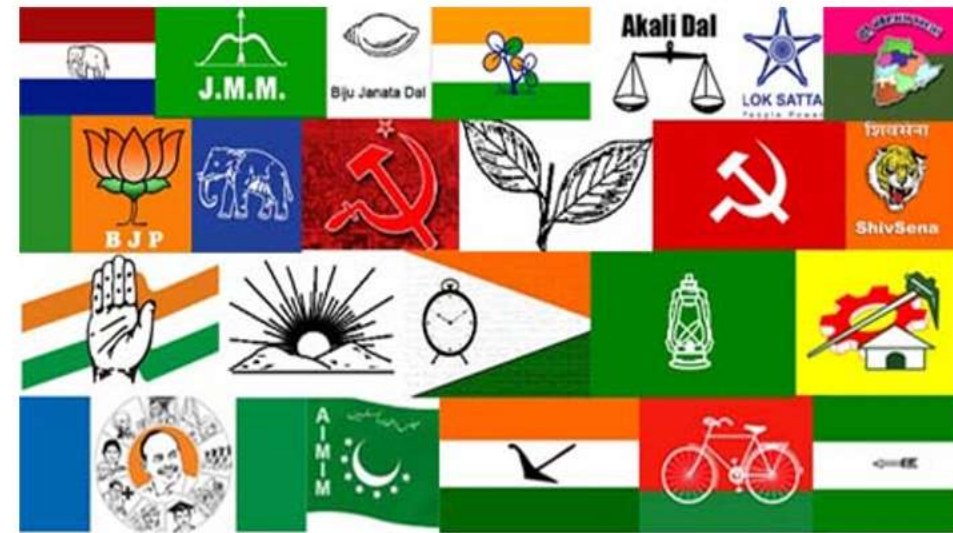
Flipkart



Unicorn

Course Correction

*Political parties in general need **course correction** as almost all the parties are resorting to populist measures.*



Course Correction

Ability to get back on track when something has gone wrong /is going wrong

Sensible Humility from a Unicorn

THE ECONOMIC TIMES

24th February 2017



LEARNING SPACE

...Transforming Human Lives

Snapdeal has done itself and the entire **startup ecosystem** a big favour by admitting **overreach** and taking decisive action to downsize.



LEARNING SPACE

...Transforming Human Lives

START-UP

- *Start-up is a young company, i.e. just beginning to develop.*
- *They are usually very small and initially financed and operated by a handful of founders or one individual.*



ANGEL INVESTMENT / VENTURE CAPITAL

ANGEL INVESTMENT

- *For start-ups at too early stage.*
- *Few thousands of dollars.*
- *May be from relatives & friends.*
- *Invest their own money.*
- *Emphasis is on person.*
- *In return take up equity in company.*

VENTURE CAPITAL

- *For start-ups, after assessing high growth potential.*
- *Moderate investment of at least 1 to 2 million dollars.*
- *Pooled up money from various professionally managed sources.*
- *In return, take up equity in company.*

Ecosystem



*Western Ghats has
got fragile
ecosystem.*

Ecosystem

All the living things in a particular area and the way they affect each other and at the same time they affect the overall environment.

Ecosystem

*Bengaluru has got a good **ecosystem** for development of start-up companies.*



Ecosystem

Group of businesses or business activities that affect each other

Overreach

*In our country, the judiciary is coming under scanner for judicial **overreach**.*



Overreach

Crossing the limits beyond whatever is given as per specific law / mandated as per specific instructions



JUDICIARY



EXECUTIVE



LEGISLATIVE

Overreach

*The e-commerce companies are being criticized for their **overreach**, without looking at the overall financial viability.*

The Amazon logo, featuring the word "amazon" in a black, lowercase, sans-serif font, with a curved orange arrow underneath it pointing from the letter 'a' to the letter 'z'.The Flipkart logo, featuring the word "flipkart" in a white, lowercase, sans-serif font, with a yellow shopping cart icon to the left of the 'f', and ".com" in a smaller yellow font to the right of "kart". The entire logo is set against a dark blue rounded rectangular background.The Snapdeal logo, featuring the word "snapdeal" in a lowercase, sans-serif font, with "snap" in blue and "deal" in red, followed by ".com" in a smaller black font.

Overreach

Overall failure / way to failure with overspending or trying to do more than you can manage

Sensible Humility from a Unicorn

THE ECONOMIC TIMES

24th February 2017



LEARNING SPACE

...Transforming Human Lives

Companies that are given **oodles** of capital and a variable burn rate **rather than** a target rate of return within a reasonable time horizon run the risk of not knowing when to **take the foot off the pedal**, slow down and change course.



LEARNING SPACE

...Transforming Human Lives

Oodles

*Radhika inherited **oodles** of cash and property from her uncle as her uncle has no children.*



Oodles

A very large amount of something pleasant

Rather



*The train was **rather** crowded.*

Rather

To a slight degree



*Ending the civil war in Syria is not a cause for celebration, but **rather** for regret that why it ever happened at the first instance*

Rather

Expressing an opposite opinion

Rather than

*I would like to stay at home this evening **rather than** go out.*



Rather than

Instead of, to indicate preference

Take the foot off the pedal

Reliance Jio is in the process of acquiring more and more customers but, the company as well knows when **to take the foot off the pedal.**



Take the foot off the pedal

More relaxed approach in a situation/ to make less effort and start to relax / apply necessary correction

Sensible Humility from a Unicorn

THE ECONOMIC TIMES

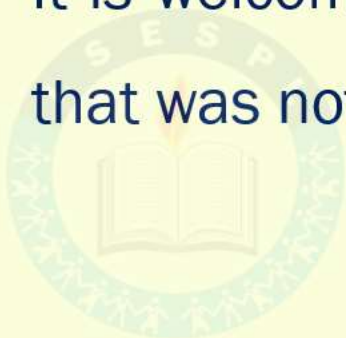
24th February 2017



LEARNING SPACE

...Transforming Human Lives

It is welcome that Snapdeal has **extricated** itself from a spending **spree** that was not taking it anywhere in particular.



LEARNING SPACE

...Transforming Human Lives

Extricate

*All the people involved in the accident are **extricated** safely and fortunately no one is injured.*



*They **extricated** the tractor from the mud.*



Extricate

To remove from an entanglement

Extricate

*Radha has not been able to **extricate** herself from her legal problems.*



Extricate

To free from a difficult situation

Spree

The family went on a shopping **spree** during the weekend.



Spree

A short period of doing a particular thing (Enjoyable) and normally it is more than usual

Spree

*During economic downturn, large corporations normally take advantage of the volatile stock market and will go on the acquisition **spree**.*



Spree

Period of time when there is a lot of activity which involves spending money

Sensible Humility from a Unicorn

THE ECONOMIC TIMES

24th February 2017



LEARNING SPACE

...Transforming Human Lives

It is to be hoped that other Indian startups, too, would learn similar lessons and emerge from the **delusion** that subsidising customers in the name of customer acquisition will take them to business nirvana. It is a lesson, too, for investors who take the '**spray and pray**' approach to investing in start-ups.

LEARNING SPACE

...Transforming Human Lives

Delusion

*The youth of this country is under the **delusion** that the government will resort to filling up of all the vacancies in the government sector.*



Delusion

Believing in something, which is not true / Unreal things / unreality

Spray and pray

Several venture capitalists are resorting to **spray and pray** approach without a scientific evaluation.



Spray and pray

Distribution of funds to many start-ups and praying for some to become major players in the future

Sensible Humility from a Unicorn

THE ECONOMIC TIMES

24th February 2017

Should we **commend** the founders for their decision to take a 100 per cent pay cut? Well, it is a **token** of **empathy** for the staff losing their jobs or in line for a serious drop in their salary. It is a welcome show of **decency**. What about the 600 or so employees who would reportedly have to go? Joining a startup is always a risk, for which you expect to receive a premium in cash and/or kind: you get high salaries and/or experience of a kind that you would not in an established company.

Commend

*This year's Union Budget was **commended** for giving emphasis to agriculture and social sector.*



Commend

To praise someone or something officially / formally

Token

*You have to get **tokens** for getting food from this restaurant.*



Token

A round piece of metal / plastic that is used instead of money

Token

*We all know that you do
not take any gifts, but
please accept this gift as a
token of our gratitude.*

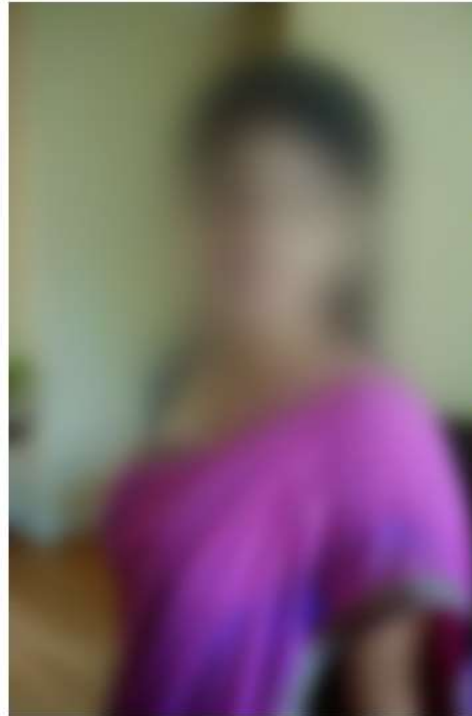


Token

An action to indicate the symbol of your feeling about something

Empathy

*She was moved by the **empathy** shown by the office staff subsequent to the death of her husband in a road accident.*



Empathy

Ability to share someone else's feelings or experiences

Sympathy

*All the governments are **sympathetic** to the people living below the poverty line, but they are not able to extricate them.*



Sympathy

Understanding someone else's suffering

Decency

*If you are going to be late, please have the **decency** to call and let me know.*



Decency

Good behavior / generally acceptable in society

Sensible Humility from a Unicorn

THE ECONOMIC TIMES

24th February 2017



LEARNING SPACE

...Transforming Human Lives

Presumably, those who joined the startup came in with their eyes wide open. They would leave richer for their experience, if not for high salaries. Even if a particular e-commerce company is not expanding fast, the industry in general would, particularly if the government goes ahead with the reported relaxation of investment conditionality, and should be able to absorb experienced hands.

Presumably

As she is consistently winning various tournaments, she is **presumably** among the top class players across the world.



Presumably

Reasonable assumption

Sensible Humility from a Unicorn

THE ECONOMIC TIMES

24th February 2017



LEARNING SPACE

...Transforming Human Lives

It is important that investors and customers do not draw the **extreme** conclusions about either Snapdeal or Indian startups in general. India has **enormous** potential in wide-ranging commercial possibilities waiting to be **explored** and developed. That would call for large doses of risk capital. How much is needed in any particular line of activity and how much would lead to excess is something that investors need to have a sense about.

Extreme

Drivers should be **extremely** cautious during their journey over the Ghat roads.

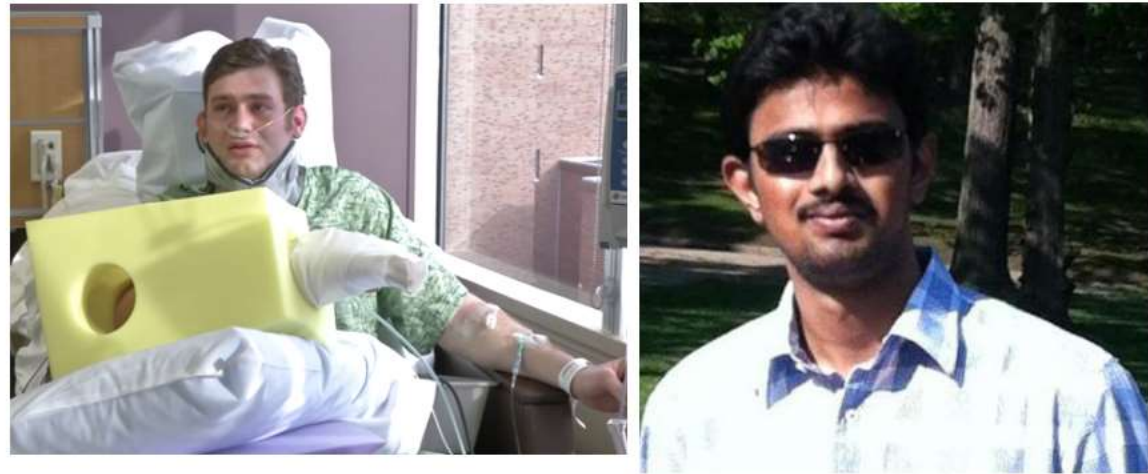


Extreme

To a very large extent / degree

Enormous

*Ian Grillo showed
enormous courage
when the firing incident
took place in the USA.*



Enormous

Extremely large

Explore

*The best way to **explore** rural areas in India is to travel on foot.*



Explore

To search and discover about something

Welcome Mergers in the Telecom Space

After the initial pain, telcos will gain, too

Vodafone in India is merging with Idea Cellular. Bharti is acquiring Telenor's loss-making operations in India. Reliance Infocomm has merged with Aircel and MTS and is in talks to bring Tata Teleservices into its embrace. Indian telecom is consolidating at a rapid pace, thanks to the disruptive entry of Reliance Industries' Jio, which fancies itself as a digital empire in the making rather than as a telecom company, and is, thus, prepared to offer voice services for free and data services at an ultra-low rate to facilitate all kinds of digital commerce. Disruption is bad, at least in the short run, for the companies being jolted out of their traditional mould but probably good for the consumer and for the industry as well.

The consumer's benefit is hardly obscure. Tariffs have fallen sharply: calls are free and data has become cheap, once you become a subscriber for a nominal fee, which is zero for Jio alone till March. But this would prove transient, if the service providers did not reorganise their business to make these low tariffs viable. The ongoing consolidation in the sector is part of that



organisational restructuring. Larger subscriber bases, especially those in underserved areas, would allow margins to grow thinner, without the company turning sick. Shared resources of the merging companies would allow cost saving. Larger pools of spectrum

will allow operators to finally optimise the network in a manner prohibited hitherto by the slivers of disparate spectrum they had to make do with. Larger distribution networks will come in handy when telcos fully operationalise their payment banks. Consolidation will create a leaner, more efficient industry.

The Competition Commission of India, rather than the telecom regulator Trai, should oversee competition in the industry. There is no contradiction between having a sectoral regulator and entities operating in the sector being regulated for a particular purpose by another regulator. For example, just because a company offers telecom services and, thus, comes under the regulatory remit of Trai, it will not cease to be regulated by markets regulator Sebi when it comes to a public issue.

DISCUSSION ON

01st Mar (tomorrow)

THE ECONOMIC TIMES

28th February 2017